



VRC-UK-2022-0405

15/03/2022

MASTER SUPPLY AGREEMENT

Between Veracier UK and Forges Martelliere S.A.

THIS AGREEMENT (the "Agreement") is made and entered into as of 15/03/2022

BETWEEN:

Veracier UK Ltd, a company incorporated under the laws of United Kingdom, with its registered office at Innovation Park, Filton, Bristol BS34 7QN, United Kingdom ("Customer")

AND

Forges Martelliere S.A. ("Supplier")

(each a "Party" and together the "Parties")

Section 1 — Scope of Agreement

This Agreement sets forth the terms and conditions under which Forges Martelliere S.A. ("Supplier") shall supply to Veracier UK Ltd ("Customer") the products and services described in Schedule 1 (the "Products"), in accordance with the technical specifications provided by Customer.

Section 2 — Term

This Agreement shall commence on the Effective Date and shall continue for an initial period of three (3) years, automatically renewing for successive one (1) year periods unless either Party gives written notice of non-renewal at least six (6) months prior to the end of the then-current term.

Section 3 — Pricing and Payment

The unit prices for the Products are set forth in Schedule 2. All prices are exclusive of applicable taxes and are quoted EXW (Incoterms 2020) Supplier's facility. Payment shall be made by wire transfer within sixty (60) days from the end of the month in which a conforming invoice is received.

Section 4 — Delivery and Acceptance

Supplier shall deliver the Products within the lead times specified in each Purchase Order. Late deliveries exceeding five (5) business days shall be subject to liquidated damages of 0.5% of the relevant Purchase Order value per week of delay, capped at 10% of the total Purchase Order value.

Section 5 — Quality and Compliance

Supplier warrants that all Products shall conform to the technical specifications and shall be free from defects in design, materials, and workmanship. Supplier shall maintain ISO 9001 certification (and AS9100 where applicable) throughout the Term.

Section 6 — Intellectual Property

Each Party retains all rights in its pre-existing intellectual property. Any bespoke developments created by Supplier under this Agreement and funded by Customer shall be the exclusive property of Customer.

Section 7 — Confidentiality

Each Party agrees to treat as confidential all technical, commercial, and financial information disclosed by the other Party under this Agreement. This obligation shall survive for five (5) years following termination.

Section 8 — Liability

Supplier's aggregate liability under this Agreement shall not exceed two (2) times the annual value of Purchase Orders placed by Customer during the preceding twelve (12) months. This limitation shall not apply in cases of gross negligence, wilful misconduct, death or personal injury, or breach of confidentiality obligations.

Section 9 — Termination

Either Party may terminate this Agreement for material breach by giving thirty (30) days' written notice, provided the breach remains uncured at the end of such notice period. Customer may terminate immediately upon written notice in the event of Supplier's insolvency, bankruptcy, or assignment for the benefit of creditors.

Section 10 — Force Majeure

Neither Party shall be liable for any failure or delay in performing its obligations under this Agreement where such failure or delay results from Force Majeure.

"Force Majeure" means acts of God, natural disasters (earthquakes, floods, hurricanes), fire, and acts of war or armed conflict. For the avoidance of doubt, supply chain disruptions, price increases, and component shortages shall not constitute Force Majeure events.

Section 12 — Governing Law

This Agreement shall be governed by and construed in accordance with the laws of England and Wales. Any dispute shall be submitted to the exclusive jurisdiction of the courts of England and Wales.

Effectiveness verification of the corrective actions will be performed over the next three production lots. The CAPA will be closed after confirming no recurrence over a minimum of 150 parts.

The Customer reserves the right to audit the Supplier's facilities, records, and quality management systems upon fifteen (15) business days' prior written notice, to verify compliance with this Agreement.

The 2% royalty rate on net sales for intra-group IP licenses is consistent with the benchmarking study results, where the interquartile range spans from 1.5% to 3.0%.

The statutory auditors have raised an observation regarding the nuclear decommissioning provision, recommending that the actuarial assumptions be reviewed by an independent actuary.

Packaging and labelling of all Products shall conform to the specifications set forth in the applicable Schedule. The Supplier shall be liable for any damage attributable to inadequate packaging during transport.

The Supplier shall maintain ISO 9001 certification (and AS9100 or NADCAP where applicable) throughout the Term. Loss of certification shall constitute a material breach entitling the Customer to suspend Purchase Orders.



The Audit Committee has reviewed the principal accounting estimates and management judgements and concluded that the methods applied were appropriate and consistent with prior periods.

The Supplier shall procure and maintain throughout the Term professional liability insurance with a minimum cover of five million euros (EUR 5,000,000) per occurrence and in the aggregate per year, and shall provide evidence thereof upon request.

This Agreement constitutes the entire agreement between the Parties with respect to its subject matter and supersedes all prior negotiations, representations, and agreements, whether written or oral.

Environmental conditions during functional testing were within specification: temperature 23 +/- 2 degrees C, relative humidity 45 +/- 10%, hydraulic fluid cleanliness class 6 per NAS 1638.

The conclusions of this legal analysis are subject to legal professional privilege and must not be disclosed to third parties without the prior approval of the General Counsel.

The Supplier shall maintain a traceability system enabling identification of raw materials, manufacturing operations, and quality inspections for each delivered Product. Records shall be retained for a minimum of ten (10) years.

The Group's net cash position stands at EUR 127 million as at 31 December, an increase of EUR 23 million compared to the prior year, primarily driven by working capital improvements.

The Supplier warrants that it holds all necessary authorizations, licenses, and permits required for the performance of its obligations. The Supplier shall promptly notify the Customer of any change that may affect its ability to perform.

Where subcontracting is authorized by the Customer, the Supplier shall remain solely responsible for the performance of all its contractual obligations. The Supplier shall ensure that subcontractors are bound by confidentiality and quality requirements no less stringent than those in this Agreement.

Each Party shall comply with all applicable laws and regulations, including without limitation anti-bribery legislation (UK Bribery Act 2010, US FCPA), data protection laws (GDPR, UK Data Protection Act 2018), and export control regulations.

The Legal Department recommends appointment of a mediator accredited by the Centre for Effective Dispute Resolution (CEDR) to attempt settlement before the commencement of substantive proceedings.

The supplier audit report identified three (3) major non-conformities relating to forging process control and raw material traceability. A corrective action plan with deadlines has been demanded.

The German entity's taxable income has been adjusted for permanent differences between IFRS and German tax rules (HGB), particularly regarding depreciation methods and provisions.

Any amendment to this Agreement shall be in writing and duly executed by authorized representatives of both Parties. No oral modification or waiver shall be binding upon either Party.

The Country-by-Country Report has been prepared in accordance with OECD BEPS Action 13 guidelines and filed with the relevant tax authority within the statutory deadline.

The Supplier shall implement and maintain environmental management practices in accordance with ISO 14001 and shall comply with REACH and RoHS regulations. Material Safety Data Sheets shall be provided upon request.

In the event of regulatory changes materially affecting the terms of this Agreement, the Parties shall negotiate in good faith to amend the Agreement within a reasonable timeframe.

The Group's litigation history in comparable matters shows an amicable resolution rate of approximately 65%, with settlement amounts averaging 45% of the initial claim.

The manufacturing routing comprises 9 principal operations from material cutting (Op 10) to final inspection and release (Op 90). Each operation requires operator sign-off and quality verification.



Pursuant to the Group's disclosure obligations, this matter must be reflected in the notes to the consolidated financial statements as a contingent liability, without specifying the provision amount to avoid prejudicing the Group's position.

Sensitivity analysis indicates that the nuclear decommissioning provision is particularly sensitive to the discount rate assumption: a +/- 0.5% change in the rate results in a +/- EUR 1.2 million variation.

Trend analysis of supplier non-conformities over the past 24 months shows a significant increase in dimensional deviations (+35%) from the supplier, requiring enhanced surveillance.

The Parties agree to hold quarterly performance review meetings to assess key performance indicators including quality metrics, on-time delivery rates, and corrective action effectiveness.

The matter has been entered in the Group's legal risk register under reference LR-2024-XXX. Oversight has been assigned to the General Counsel.

Bristol, le 15/03/2022
Managing Director

James Hartley